Court of King's Bench of Alberta

Citation: 2755857 Alberta Ltd. (Re), 2026 ABKB 742

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2026 ABKB 742 (CanLII)

Between:

In the matter of the *Bankruptcy and Insolvency Act*, RSC 1985, c B-3, as amended

AND in the matter of the Receivership of 2755857 Alberta Ltd

Reasons for Decision
of the
Honourable Justice M.A. Marion

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I. Introduction and Background

[1] On June 2, 2025, the Court granted a receivership order (**Receivership Order**) appointing a receiver-manager (**Receiver**)[1] in respect of Cleo Energy Corp. (**Cleo**)[2]. Cleo's employees (**Former Employees**) were terminated shortly thereafter. The Minister under the *Wage Earner Protection Program Act*, SC 2005, c 47, s 1 (*WEPPA*) accepted the Former Employees' entitlement to and made payments (**WEPP Payments**) under the Wage Earner Protection Program (**WEPP**).

[2] In October 2025, the Court dismissed the Receiver's application for a reverse vesting order (**RVO**) approving the sale of Cleo's shares to a purchaser (**269 Corp**[3]) under a share purchase agreement (**Share Transaction**) due to insufficient evidence of the need for an RVO transaction, without prejudice to its ability to reapply on better evidence: ***Cleo Energy Corp (Re)***, 2025 ABKB 621 [***Decision***]. In the ***Decision***, the Court also raised concerns about two issues that had been raised in the Receiver's RVO application: (1) RVO transactions that do not provide for payment of "cure costs" for retained contracts; and (2) the idea that the Minister might take steps to claw back the WEPP Payments following approval of an RVO transaction.

[3] On November 14, 2025, upon receiving further evidence, the Court approved the Share Transaction under a revised RVO (**Revised RVO**) that addressed the Court's cure costs concern. The Revised RVO provided for priority payment for retained contract cure costs out of the purchase price proceeds, failing which the contracting counter-party could waive their entitlement to the cure costs and terminate the retained contract.

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[1] Alvarez & Marsal Canada Inc.
[2] Cleo is now named Sumerian Oil & Gas Inc.
[3] 2698902 Alberta Corp.

[4] Since then, the Revised RVO transaction closed, the Court approved and the Receiver implemented a "Claims Procedure Order" to assess and finalize the claims against Cleo, including cure costs claims, and the Minister under *WEPPA* indeed decided to take steps to claw back the Former Employees' WEPP Payments.

[5] The Receiver now seeks various orders to allow it to complete the administration of the receivership and obtain its discharge. This decision addresses two main disputed issues that arise in that context, together with several otherwise undisputed matters (some of which depend on the resolution of the two disputed issues).

[6] The first disputed matter is whether this Court has or should exercise jurisdiction to make declarations (***WEPPA* Declarations**) about the impact of the Revised RVO on the Former Employees' entitlement to the WEPP Payments, or should otherwise declare how *WEPPA* is to be applied. The Receiver, now in its capacity as the court-appointed receiver and manager of the residual corporation created to implement the Revised RVO (**ResidualCo**[4]), seeks these *WEPPA* Declarations:

(a) that the Revised RVO does not impact any previously approved claims or WEPP Payments made to Cleo's Former Employees pursuant to *WEPPA*; and

(b) the Former Employees' entitlement under *WEPPA* is to be determined at the time of their termination pursuant to the receivership and the subsequent granting of the Revised RVO does not vary or change their eligibility under *WEPPA*.

[7] The Minister opposes the *WEPPA* Declarations on the basis that the Court does not have jurisdiction to make them or, alternatively, should not exercise its discretion to make them. The Minister argues that the question of entitlement to the WEPP Payments is governed by and has been decided under the *WEPPA* regime and this Court should not interfere with the *WEPPA* procedures for challenging the Minister's entitlement or review decisions.

[8] Second, this decision addresses whether Canadian Natural Resources Ltd. (**CNRL**) should be allowed to file a late proof of claim (**CNRL Claim**) under the Claims Procedure Order. The CNRL Claim relates to cure costs (**CNRL Cure Costs**) under contracts between Cleo and CNRL that were retained by Cleo under the Share Transaction approved in the Revised RVO.

[9] Before the first proposed RVO transaction application, CNRL reached a side agreement (**Side Agreement**) with 269 Corp, as purchaser of the Cleo shares, for payment of the CNRL Cure Costs. After 269 Corp failed to make the Side Agreement payments, CNRL applied for and on January 16, 2026 obtained an order (**Consent Order**) providing judgment (**Judgment**) against 269 Corp for the CNRL Cure Costs and setting out a payment schedule for their payment by May 2026. After that, CNRL focused on enforcing the Consent Order and stopped actively monitoring these receivership proceedings. Thus, CNRL did not provide a proof of claim for the CNRL Cure Costs in the receivership before March 31, 2026 (**Claims Bar Date**) under the Claims Procedure Order.

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[10] Not having been able to recover the CNRL Cure Costs from 269 Corp, CNRL now seeks permission to provide and to have accepted its late claim to recover the CNRL Cure Costs from the Share Transaction proceeds. CNRL's application is opposed by the Receiver and certain creditors (Alberta Energy Regulator (**AER**) and five municipalities (**Municipalities**)) whose share of the distribution from the receivership would be reduced if CNRL Claim is allowed and accepted.

[11] The Receiver's application also seeks several other grounds of relief:

(a) approving the Receiver's actions, activities and conduct, including the final statement of receipts and disbursements (**Final Statement**) and final cash flow forecast (**Final Forecast**) as set out in the Receiver's Fourth Report;

(b) approving the fees and disbursements of the Receiver and its legal counsel as outlined in the Fourth Report;

(c) approval of proposed distributions of the Receiver as set out in the Fourth Report of the Receiver (**Proposed Distributions**); and

(d) providing for the discharge and release of the Receiver upon filing certificates of completion of its remaining obligations.

[12] All of these matters were before me on September 16, 2026. I reserved and adjourned the Receiver's application to allow for the completion of a written process in respect of the CNRL Claim under the Claims Procedure Order, so that I could decide the CNRL Claim and related application at the same time as the Receiver's application. I set various deadlines for the written hearing process for the CNRL Claim matters and those processes are now complete.

[13] For the reasons set out below, I decline to make the *WEPPA* Declarations, I deny CNRL's application to permit its late proof of claim for the CNRL Claim, and I grant the other relief sought by the Receiver.

II. Issues

[14] The issues before me are:

(a) Does the Court have jurisdiction to grant the *WEPPA* Declarations and, if so, should the Court exercise its discretion and grant the *WEPPA* Declarations?

(b) Should the CNRL Claim be considered even though it was provided after the Claims Bar Date? If so, should the CNRL Claim be accepted as a cure cost claim under the Claims Procedure Order?

(c) Should the other relief sought by the Receiver be granted?

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III. Analysis

A. The Proposed *WEPPA* Declarations

1. Factual Context

[15] As noted above, on June 2, 2025, the Court granted the Receivership Order.

[16] On June 3, 2025, the Receiver terminated the Former Employees.

[17] On June 16, 2025, the Receiver provided the Former Employees information packages for the WEPP. It received back WEPP proof of claims forms for each of the Former Employees and administered them in accordance with *WEPPA*. The Receiver subsequently received confirmation from Employment and Social Development Canada (**ESDC**) that the Former Employees' WEPP claims had been processed and they had received the WEPP Payments.

[18] On September 29, 2025, ESDC notified the Receiver that $15,333.41 paid as WEPP payments to the Former Employees held a super-priority entitlement over other Cleo creditors (**Superpriority Amount**). Although the related correspondence is not before me, I understand that the Superpriority Amount claimed by ESDC was founded upon the rights of subrogation under section 36 of *WEPPA* and the Former Employees' rights under section 81.4 of the *Bankruptcy and Insolvency Act*, RSC 1985, c B-3 (*BIA*).

[19] In the October 28, 2025 ***Decision***, Justice Feasby dismissed the Receiver's application to approve the RVO because he found the Receiver had not provided sufficient evidence that an RVO was necessary: ***Decision*** at para 25.

[20] Before Justice Feasby, ESDC warned that the proposed RVO transaction structure could have adverse consequences for the Former Employees, namely that the WEPP Payments could be clawed back if the RVO was approved. Justice Feasby received supplemental written submissions on this issue, in which ESDC stated:

> Prior to the RVO application, some of the [Former Employees], applied for and received payments from the [WEPP]. Those payments will most likely be collected back from the employees following an approval of the RVO transaction as the former employees will no longer meet the eligibility criteria under [*WEPPA*]. In short, the effects of the RVO would likely disqualify those employees from eligibility and they would be required to repay WEPP benefits received.
>
> The AGC is submitting this letter in the interest of transparency, to ensure the Court is aware of a stakeholder, namely, the [Former Employees], who may be affected should the RVO be granted. It also provides a brief overview of the WEPPA program to assist the Court in understanding its purpose and limitations. ESDC

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> does not take a position on the RVO application or on the rights of the former employees, as it does not represent the said former employees.[5]

[21] In response, the Receiver described the issue as whether the RVO "retroactively disqualifies" the Former Employees from the WEPP. It argued that the RVO "should not impact any eligibility requirements" of the Former Employees, because it undermines the objective of the WEPP, and is contrary to the public policy objections of the WEPP itself.[6] The Receiver relied on two Quebec cases in which *WEPPA* had been interpreted in the context of proceedings under the *Companies' Creditors Arrangement Act*, RSC 1985, c C-36 (*CCAA*): ***Arrangement relatif à Former Gestion Inc***, 2024 QCCS 3645 [***Just for Laughs***], leave to appeal refused ***Attorney General of Canada c Former Gestion Inc***, 2024 QCCA 1441 [***Just for Laughs CA***]; ***Arrangement relatif à Valeo Pharma inc***, 2025 QCCS 580 [***Valeo Pharma***], leave to appeal granted ***Attorney General of Canada c Valeo Pharma inc***, 2025 QCCA 483 [***Valeo Pharma CA***].[7]

[22] Before Justice Feasby, the Receiver also proposed additional language to the form of RVO to address this issue, which is consistent with one of the *WEPPA* Declarations it now seeks, as follows (additional language underlined):

> the Company shall cease to be a party in this Action and shall be released from the purview of the Receivership Order and all other orders of this Court granted in these proceedings; however nothing in this Order shall impact any eligibility requirements of any former employees of the Company to any Wage Earner Protection Program entitlements they may have received as a result of the Company's receivership and subsequent termination of such employees by the Receiver.

[23] Ultimately, Justice Feasby did not have to resolve *WEPPA* issue because he dismissed the Receiver's application for the other reasons noted above. However, in *obiter*, Justice Feasby agreed with ***Just For Laughs***, at para 34, in which Justice Collier held that the relevant time for determining when *WEPPA* applies "is the moment at which all an insolvent entity's employees are terminated due to a bankruptcy or restructuring", and that neither *WEPPA* nor its regulations "indicate that circumstances arising after the termination are relevant".

[24] Justice Feasby stated, at para 46:

> [46] I agree. WEPP exists to protect employees from the adverse consequences of the insolvency of their employer. Terminated employees have no control over how insolvency and restructuring transactions are structured after their termination. Terminated employees who have received WEPPs payment and have no inkling of the possibility of a clawback may have used the money to pay for groceries or rent. A choice to clawback payments made to terminated employees of an insolvent corporation because of subsequent events beyond their control would be to the

[5] Supplement to the First Report of the Receiver dated October 24, 2025 at Appendix A (October 22, 2025 letter from the Department of Justice Canada).
[6] Reply Brief of the Receiver to the Department of Justice Canada at paras 23-25.
[7] I understand that the Quebec Court of Appeal heard this matter in September 2025 and its decision remains under reserve.

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> immense discredit of the Minister and, I would hope, be swiftly reversed by the Canada Industrial Relations Board or the Federal Court of Appeal.

[25] As noted above, following the ***Decision*** the Receiver applied for approval of the Revised RVO. The Receiver's Second Report addressed the WEPP as follows, at paras 18-20:

> 18. At the October 17 Application and in its written submission, the DOJ on behalf of ESDC had advised the Court a reverse vesting order transaction could have an impact on employees who received WEPP payments as part of their employment termination in these proceedings.
>
> 19. The Court addressed this in the Reasons for Decision at paragraphs 40 to 46.
>
> 20. The DOJ has been provided a copy of the Revised RVO in advance of filing the Receiver's application and we understand that ESDC takes no position at the application for the Revised RVO.

[26] Unlike its supplemental submissions before Justice Feasby, in the follow-up Revised RVO application the Receiver did not seek any declaration about *WEPPA*. Counsel for ESDC advised me that ESDC did not take a position on whether the Revised RVO should be granted, in part because no declarations about *WEPPA* were being sought.

[27] On November 14, 2025, Justice Bourque heard the Receiver's application for the Revised RVO. As set out above, *WEPPA* matters were noted in the Receiver's Second Report, but it is my understanding they were not the subject of any substantive submissions by the Receiver or ESDC.

[28] Justice Bourque granted the application approving the Revised RVO. The Revised RVO does not include any *WEPPA*-related declarations.

[29] On November 19, 2025, the RVO transaction closed.

[30] On November 20, 2025, the Receiver paid the Superpriority Amount to ESDC.

[31] Subsequent to the Revised RVO being granted, I understand that:

> (a) the Minister reconsidered the previous *WEPPA* eligibility determinations of the Former Employees;
>
> (b) the Minister determined the Former Employees were not eligible to receive the WEPP Payments;
>
> (c) the Former Employees all exercised their statutory right to seek a review of the Minister's determinations under *WEPPA*;
>
> (d) the Minister confirmed the determination that the Former Employees were not eligible for WEPP payments; and

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(e) the Minister has taken steps, or intends to take steps, to effect repayment or claw back of the WEPP Payments.

[32] On July 28, 2026, the Receiver assigned ResidualCo into bankruptcy.

[33] It is not in the record before me whether the Former Employees have exercised or intend to exercise their statutory right of appeal to the Canadian Industrial Relations Board (**CIRB**) under section 14(1) of *WEPPA*.

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2. Legal Framework

[34] The request to make the *WEPPA* Declarations engages the limits on the Court's discretionary jurisdiction to provide advice and directions and grant declarations in receiverships.

[35] The court has the jurisdiction to provide advice and directions in receiverships, under both the *BIA* and the court's broad general jurisdiction under the *Judicature Act*, RSA 2000, c J-2: *BIA*, section 249; ***RIC New Brunswick Inc v Telecommunications Research Laboratories***, 2010 ABCA 227 at para 23; *Judicature Act*, sections 8, 13(2).

[36] It has been held that advice and directions are appropriate where the relief "relates to the receiver's administration, the powers and performance of duties including custody of assets, their disposition and approval of settlements": ***Griffiths McBurney & Partners v Ernst & Young YBM Inc***, 2000 ABCA 284 [***YBM Magnex***] at para 30, citing *Bennett on Receiverships*, 2nd ed (Toronto: Carswell, 1999) at 166.

[37] However, there are limits on the court's exercise of its advice and direction jurisdiction. Courts generally should decline to provide advice and directions in a receivership where:

(a) the requested advice and directions do not directly relate to the receivership;

(b) the advice and directions seek answers to theoretical questions;

(c) the receiver is effectively using the court as a legal adviser;

(d) the court is asked to decide disputed substantive matters and an affected party has not had the opportunity to fairly participate, or a summary determination is not appropriate;

(e) it would substantively impact proceedings in another jurisdiction which are properly before the court in that other jurisdiction; or

(f) where it would preclude a substantive defence in other existing litigation proceedings.

See, for example: ***YBM Magnex*** at paras 34, 46, 48; ***Canada (Attorney General) v Ernst & Young Inc***, 2019 ABCA 180 at para 26; ***Calgary Firefighters' Supplementary Pension Plan (Trustee of) v Calgary (City of)***, 2004 ABQB 125 at para 80.

[38] The court's jurisdiction to grant declaratory relief under section 11 of the *Judicature Act*, is a statutory and equitable remedy: ***Wesley v Alberta***, 2024 ABCA 276 at para 77, leave to appeal refused 2025 CanLII 44340 (SCC); ***YBM Magnex*** at para 56; ***Venini v Venini***, 2023 ABKB 524 at para 63; ***Scenic Acres Community Association v Calgary (City)***, 2015 ABQB 586 at para 71; ***Piikani Investment Corporation v Piikani First Nation***, 2008 ABQB 775 at para 221; ***Romspen Mortgage Ltd Partnership v 3443 Zen Garden Ltd Partnership***, 2023 ABKB 730 at para 168, aff'd 2024 ABCA 333.

[39] Declarations can be granted where: (1) the court has jurisdiction to hear the issue; (2) the dispute is real and not theoretical; (3) the party raising the issue has a genuine interest in its resolution; and (4) the respondent has an interest in opposing the declaration sought: ***Ewert v Canada***, 2018 SCC 30 at para 81; ***SA v Metro Vancouver Housing Corp***, 2019 SCC 4 at para 60; ***Daniels v Canada (Indian Affairs and Northern Development)***, 2016 SCC 12 at para 11; ***Canada (Prime Minister) v Khadr***, 2010 SCC 3 at para 46; ***Faichney v Fort McKay Métis Nation Association***, 2026 ABKB 429 at para 29.

[40] However, the discretion to grant declaratory relief should be exercised with care and caution: ***YBM Magnex*** at para 55; ***Peter Lehmann Wines Ltd v Vintage West Wine Marketing Inc***, 2015 ABQB 481 at para 75; ***Scenic Acres*** at para 71. Whether to exercise the discretion is based on a fact and context driven assessment.

[41] Courts have held that discretionary declarations will not normally be appropriate where:

(a) it would interfere with the jurisdiction assigned to a specialized tribunal, or its purpose is to be used to influence or determine an issue extant before another court: ***Lobsinger v Lobsinger Family Trust***, 2026 ABKB 671 at paras 19-21; ***Bosa v Canada***, 2025 BCSC 1284 at para 50; ***Sheila Holmes Spousal Trust v Canada (Attorney General)***, 2013 ABQB 489 at paras 60-61; ***2585929 Alberta Ltd (Re)***, 2026 ABKB 75 at paras 26-29, 54-59; ***GLP NT Corp v Canada (Attorney General)***, 2003 CanLII 41554 (ON SC) at para 21; ***Baxter v Attorney General of Canada et al***, 2013 ONSC 3153 at paras 23-26; ***422252 Alberta Ltd v Canada (Attorney General)***, 2003 BCSC 1362 at paras 32, 42; ***Foundation v Jabs Construction Ltd***, 1998 CanLII 4651 (BC SC) at para 7; ***Lau v Canada (Attorney General)***, 2014 BCSC 2384 at para 66;

(b) it would serve no purpose, which has been described as including where it would have no "practical utility", would be "useless or embarrassing", would not settle a live controversy between the parties, would be of no practical use to the applicant, would not lead to "any tangible result for the parties", would be academic or moot, or has been "overtaken by subsequent events": ***Iris Technologies Inc v Canada***, 2024 SCC 24 at para 58; ***YBM Magnex*** at paras 55-56, citing ***Hugh W Simmons Ltd v Foster***, 1955 CanLII 49 (SCC), [1955] SCR 324 and 19 Hals. (2d) 215 at para 512; ***Romspen Mortgage*** at para 168; ***Daniels*** at para 11; ***Faichney*** at para 31; ***Anderson v Canada (Employment, Workforce and Labour)***, 2019 ABQB 579 at para 13; ***CM v Alberta***, 2024 ABCA 136 at paras 26, 29, citing ***Trang v Alberta (Edmonton Remand Centre)***, 2007 ABCA 263 at para 15, leave to appeal to SCC refused 2008 CanLII 6439 (SCC); ***Thomas v Rio Tinto Alcan Inc***, 2024 BCCA 62

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at para 382, leave to appeal refused 2024 CanLII 96608 (SCC); ***Nassichuk-Dean v University of Lethbridge***, 2022 ABKB 629 at paras 19-21;

(c) there exists an adequate alternative statutory mechanism, or more appropriate procedures, to resolve the dispute or protect the rights in question: ***Ewert*** at para 83; ***YBM Magnex*** at para 55; ***Romspen Mortgage*** at para 169; ***Anderson*** at para 14; ***Nova Scotia (Securities Commission) v Potter***, 2012 NSCA 12 at para 19; ***Bryton Capital Corp GP Ltd v CIM Bayview Creek Inc***, 2023 ONCA 363 at para 64, citing ***Gook Country Estates Ltd v Quesnel (City of)***, 2008 BCCA 407 at para 10; and

(d) it would be unjust based on equitable considerations, including the conduct of the party seeking the declaration and any equitable defences: ***YBM Magnex*** at para 55; ***Venini*** at para 63; ***Piikani Investment Corporation*** at para 221, citing ***Hong Kong Bank of Canada v Wheeler Holdings Ltd***, 1993 CanLII 148 (SCC), [1993] 1 SCR 167 at 192; ***Wawanesa Mutual Insurance Co v Lindblom***, 2001 ABCA 102 at para 53.

[42] I now turn to this case.

3. This Court Has Jurisdiction but Declines to Exercise It

[43] I find that this Court has jurisdiction to consider and grant the *WEPPA* Declarations.

[44] In addition to the broad statutory jurisdiction noted above, the Receivership Order expressly provides that the Receiver may apply to the Court "for advice and directions in the discharge of its powers and duties hereunder". The Revised RVO also provides that the Court "shall retain exclusive jurisdiction to, among other things, interpret, implement and enforce the terms and provisions" of the Revised RVO, the Share Transaction, and disputes arising from them.

[45] Further, the *WEPPA* Declarations sought are connected to the administration of the receivership. The Former Employees were terminated by the Receiver following the Receivership Order, the Receiver paid the Superpriority Amount to ESDC for the WEPP Payments to the Former Employees, and the Final Statement, Final Forecast and Proposed Distribution for which the Receiver seeks approval are each calculated based on the Superpriority Amount having been paid.

[46] Finally, there is not clear, unequivocal or precise wording to oust the court's jurisdiction: ***Canada (Attorney General) v Fontaine***, 2017 SCC 47 at para 33; ***Brewers Retail Inc v Campbell***, 2023 ONCA 534 at para 64, citing ***Weber v Ontario Hydro***, 1995 CanLII 108 (SCC), [1995] 2 SCR 929 at paras 50-58; ***Canada (Attorney General) v TeleZone Inc***, 2010 SCC 62 at para 6; ***1001270243 Ontario Inc***, 2026 ONSC 3967 [***Synaptive***] at para 59.

[47] However, in the unique circumstances of this case there are several factors that lead me to the conclusion that I should decline to exercise my discretion to consider or make the *WEPPA* Declarations.

[48] First, the Receiver reasonably points to decisions in which courts have interpreted *WEPPA* on the question of whether post-employment termination events are relevant to determining

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employee eligibility for WEPP payments. The Receiver asserts that existing cases make it clear that, as a matter of statutory interpretation of *WEPPA* and fairness, an RVO does not give the Minister grounds to rescind WEPP payment entitlement because employee entitlement must be considered at the time of termination and not based on later events. I review the key cases below.

[49] In ***Just for Laughs***, several entities filed a notice of intention to make a proposal under the *BIA*, and then the Court later authorized them and other entities to continue or commence insolvency proceedings under the *CCAA*. As here, employees were terminated before proposed transactions, however, the transactions involved both asset sales and RVO transactions. In the RVO transactions, employee liabilities were transferred to the newly incorporated residual company. Unlike this case, the question of whether the employees were entitled to WEPP payments was brought before and decided by the Court before the Minister had made any decision about entitlement and at the same time as the RVO transaction was approved.

[50] The Court held, at para 34, that the time to determine entitlement under *WEPPA* is "the moment at which all an insolvent entity's employees are terminated due to a bankruptcy or restructuring". In reaching this determination, the Court exercised its jurisdiction to determine WEPP payment entitlement in the context of a *CCAA* or bankruptcy, as expressly provided for in section 5(5) of *WEPPA* and section 3.2 of the *Wage Earner Protection Program Regulations*, SOR/2008-222 (*Regulations*). Those sections provide, respectively:

> **Prescribed criteria — other proceedings**
>
> (5) On application by any person, a court may, in proceedings under Division I of Part III of the *Bankruptcy and Insolvency Act* or under the *Companies' Creditors Arrangement Act*, determine that the former employer meets the criteria prescribed by regulation.
>
> [...]
>
> **Proceedings Under Bankruptcy and Insolvency Act or Companies' Creditors Arrangement Act**
>
> 3.2 For the purposes of subsection 5(5) of the Act, a court may determine whether the former employer is the former employer all of whose employees in Canada have been terminated other than any retained to wind down its business operations.

[51] The Court declared that the debtor companies were former employers under *WEPPA*.

[52] ***Just for Laughs*** is distinguishable from this case because the Receiver does not seek the *WEPPA* Declaration under section 5(5) of *WEPPA* or section 3.2 of the *Regulations*. Notably, *WEPPA* does not expressly provide the same express judicial jurisdiction to determine whether a former employee meets the criteria under *WEPPA* or its *Regulations* in the context of a receivership.

[53] As noted above, leave to appeal ***Just for Laughs*** was refused in ***Just for Laughs CA***. Vauclair JA was not satisfied the proposed appeal was *prima facie* meritorious, because Justice

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Collier did not make a finding about eligibility for WEPP payments but was exercising the Court's broad discretion under *WEPPA* and section 3.2 of the *Regulations*.

[54] ***Just for Laughs*** has been followed in other *CCAA* and *BIA* proceedings. In ***Syndic d'Intelgenx Corp***, 2024 QCCS 3678, in the context of *CCAA* proceedings, employees were laid off and the Court approved an RVO transaction which involved the transfer of employee liabilities to a residual corporation. The Court followed ***Just for Laughs*** and, under section 5(5) of *WEPPA*, declared the *CCAA* debtor company to be the former employer of the terminated employees.[8]

[55] In ***Valeo Pharma*** (a *CCAA* case), the approved RVO transaction structure contemplated that some employees (not yet terminated), could be retained by the purchaser, but if the purchaser did not retain them, then the employees were transferred to the residual corporation and terminated. Justice Collier made a declaration under section 5(5) of *WEPPA* and the *Regulations* that the residual corporation was the former employer of those employees. In this case, leave to appeal was granted in ***Valeo Pharma CA***. As noted above, I understand this appeal remains under reserve.

[56] In ***Arrangement relating to Lion Electric Company/Compagnie électrique Lion***, 2025 QCCS 2210, the determination of a case similar to ***Just for Laughs*** and ***Valeo Pharma*** was adjourned pending the Court of Appeal's decision in ***Valeo Pharma***.

[57] In ***Synaptive***, another *CCAA* case similar to ***Valeo Pharma***, the *CCAA* debtor retained some employees, but agreements with other employees whose employment had been terminated were transferred to a residual corporation as part of an RVO transaction. Declaratory relief was sought at the time the RVO transaction, but was adjourned to give the Attorney General of Canada time to respond. The RVO transaction then closed, and the residual corporation went bankrupt. In those circumstances, the Court exercised its jurisdiction under section 5(5) of *WEPPA* and the *Regulations*, to declare that the residual corporation was a former employer under *WEPPA*, both as a *CCAA* applicant and as a bankrupt. In the circumstances, the Court did not need to decide whether the debtor company was also a former employer.

[58] The *WEPPA* statutory interpretation question has not yet been settled by an appellate court, or in any decision of this Court. Further, the previous cases are distinguishable from the circumstances before me. In the other cases, applications for the declarations sought were brought at the time the RVO transaction was approved, and before the Minister decided or reviewed the question of the terminated employees' entitlement to WEPP payments. Further, the other decisions were brought in the context of proceedings for which *WEPPA* expressly provides for judicial jurisdiction to make declarations about whether an employer is a "former employer" under *WEPPA*.

[59] In contrast, in this case the *WEPPA* Declarations are sought after the Revised RVO transaction was approved and closed, and after the Minister had already made decisions about the Former Employees' entitlement to WEPP Payments. This different context materially changes the question of whether this Court should consider making the *WEPPA* Declarations as requested.

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[8] A similar unpublished order appears to have been granted in the *CCAA* proceedings involving Taiga Motors Corporation: Andrew J Hatnay et al, WEPPA *Woes with RVOs: Employees Facing Uncertainty under the "Remedial" Legislation*, 2025 23 Annual Review of Insolvency Law, 2025 CanLIIDocs 3316 at p 19.

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[60] Second, although the Proposed Declarations are sufficiently connected to the court-appointed receiverships to provide the Court jurisdiction, at this stage that connection is more tenuous and relatively immaterial with respect to the steps remaining in the receivership. The *WEPPA* Declarations are not necessary for the Court to consider or decide the Receiver's application to approve the Proposed Distribution or the Final Statement.

[61] The only matter before me that is still connected to *WEPPA* is the Superpriority Amount and the apparent overpayment to ESDC if it also has clawed back the WEPP Payments without accounting for the Superpriority Amount already received. However, this is a relatively modest amount in the context of the applications. I am satisfied that, if the entitlement to the Superpriority Amount, or the mechanics for the handling of those funds, cannot be agreed between the Receiver, ESDC and the Former Employees, this is something that can efficiently be addressed by the parties (or this Court, if necessary) as a receivership administration matter prior to the Receiver's final discharge.

[62] Third, the Receiver and ESDC were both aware of the dispute about whether the Minister could review the Former Employees' entitlement to the WEPP Payments, or whether an RVO would provide the Minister grounds to rescind their determination of eligibility and seek to claw back amounts already paid. Specific declarations were sought before Justice Feasby, but not before Justice Bourque.

[63] The risk of the Minister reviewing the Former Employees' entitlement to the WEPP Payments was flagged in the Receiver's Second Report before Justice Bourque granted the Revised RVO, but no *WEPPA* declarations were sought by the Receiver and neither side made any submissions about it. It seems that, perhaps, the Receiver believed the Minister would not claw back the WEPP Payments in light of Justice Feasby's *obiter* comment that it would be to the Minister's "immense discredit" to do so: ***Decision*** at para 46.

[64] In any event, the Court approved the Revised RVO with the knowledge that the risk of Minister review and claw back existed and, based on para 46 of the ***Decision***, such steps would be subject to the appeal jurisdiction of the CIRB.

[65] In my view, if the Receiver intended this Court to decide the issues embedded in the *WEPPA* Declarations within the receivership, the appropriate time to have brought the matter forward was at the time the Revised RVO was approved.

[66] Fourth, *WEPPA* provides a statutory scheme governing the Minister's review of entitlement to WEPP payments, and the process for challenging the Minister's decision. It provides for the conditions of eligibility for WEPP payments (sections 5, 6); the Minister's determination whether an applicant is eligible to receiver a payment (section 9); the review of the Minister's determination of eligibility (sections 11, 12); and an appeal to the CIRB on questions of law or jurisdiction (sections 13.1 to 20): *WEPPA*; ***Just for Laughs*** at para 23. Sections 19 and 20 of *WEPPA* purport to provide a limited scope of judicial review (which must be read in light of the Supreme Court of Canada decision in ***Democracy Watch v Canada (Attorney General)***, 2026 SCC 28).

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[67] The Minister's consideration of the legal effect of the Revised RVO, the Minister's decision that it could initiate a review after WEPP payments are made without being asked by an applicant to do so, and the Minister's interpretation of the *WEPPA*, all appear to be questions of law or jurisdiction (although I need not decide that).

[68] If the cases relied on by the Receiver are correct, then the Minister may very well have acted without jurisdiction or have committed a legal error, and the CIRB may very well "swiftly reverse" the Minister's review and rescission of the Former Employees' eligibility for the WEPP Payments as contemplated in para 46 of the ***Decision***. I make no decisions about any of those matters. At the late stage of these receivership proceedings, those matters are better resolved within the existing *WEPPA*, CIRB appeal, and related Federal Court frameworks, not by this Court.

[69] In my view, *WEPPA* provided an alternative adequate statutory mechanism available to the Former Employees post Revised RVO approval. Any residual unfairness following that process, or otherwise arising out of *WEPPA*, is a matter for Parliament.

[70] Finally, the Receiver has not established that there is a practical utility or appropriate purpose in this Court considering or making the *WEPPA* Declarations. The Minister has decided the Former Employees are not entitled to the WEPP Payments. Asserting that the Minister's approach may offend the general sense of fairness of the Receiver or insolvency practitioners is, without more, insufficient for this Court to intervene at this stage.

[71] The Former Employees did not participate in the applications before me. They provided no evidence about what has occurred with respect to their WEPP Payments, the status regarding any CIRB appeal or review process under *WEPPA*, or their intentions in that regard.

[72] With no other practical purpose to the declarations identified by the Receiver, one can only speculate that the *de facto* purpose of the *WEPPA* Declarations may be to influence or be the foundation for the Former Employees' existing or future CIRB appeals, or perhaps a request for the Minister to conduct another review of the Former Employees' eligibility under *WEPPA*. I am not satisfied that this justifies this Court considering or making the *WEPPA* Declarations at this stage, base on the legal framework and considerations noted above.

[73] For the above reasons, I decline to exercise my discretion to consider or grant the *WEPPA* Declarations.

B. CNRL Application

1. Factual Context

[74] As noted above, on June 2, 2025, the Court granted the Receivership Order.

[75] On October 6, 2025, the Receiver applied for approval of the Share Transaction through the initial RVO. To CNRL's knowledge, the proposed RVO transaction did not contemplate provision for cure costs, including the CNRL Cure Costs. For that reason, CNRL advised the Receiver that it would oppose the application.

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[76] The Receiver's application was scheduled to be heard on October 17, 2025. In order to address CNRL's concern with the transaction, CNRL entered into the Side Agreement with 269 Corp effective October 17, 2025, by which 269 Corp agreed to pay the CNRL Cure Costs within 30 days of closing of the Share Transaction. It does not appear that CNRL's counsel appeared or made submissions with respect to the Receiver's RVO application. However, Alberta Energy appeared and objected to the application because the proposed RVO's failed to address its cure costs in the form of Crown royalties.

[77] As noted above, in the October 28, 2025 ***Decision***, Justice Feasby dismissed the Receiver's application without prejudice to the Receiver's right to re-apply. Justice Feasby also expressed concern about whether this was an appropriate case for Cleo to retain the benefit of executory contracts (such as Crown leases) while absolving itself of the responsibility to remedy cure costs (such as pre-receivership unpaid Crown royalties or rent): ***Decision*** at paras 37-39.

[78] On November 5, 2025, the Receiver filed another application to implement the Share Transaction. The proposed Revised RVO expressly provided for payment of cure costs out of the proceeds of the Share Transaction:

> 10.1 Notwithstanding anything in paragraph 10 above, the Purchase Price proceeds will be used to satisfy any valid and proven cure costs that may be owing in respect of the Crown in right of Alberta. Any other claimants with proven cure costs that may be owing in respect of contracts that will form part of the Retained Assets, will be entitled to be paid from the Purchase Price proceeds *pro rata*, subject only to the Receiver's Charge. If any valid and proven cure costs amounts are not able to be satisfied, such contract counterparties are permitted to waive their share of Purchase Price proceeds and terminate their agreement with the Company.

[79] The Receiver's Second Report, filed in support of the Revised RVO transaction, expressly flagged that the Receiver would seek approval of a claims process that would provide retained contract counterparties the right to prove claims to cure costs in the receivership, as follows:

> 38. The Receiver intends to return to Court to seek approval of a claims process to determine the security and priority of any claims that ResidualCo creditors may have against the Purchase Price Funds and/or the ResidualCo Funds. This process will include potential Other Cure Costs claimants who may be owed amounts from the Purchase Price Funds. As stated in the Revised RVO, if any valid and proven Other Cure Costs cannot be fully satisfied, the corresponding contract counterparties will be entitled to terminate their agreements with the Company.

[80] As noted above, on November 14, 2025, Justice Bourque granted the Revised RVO. CNRL's counsel attended and, in light of the change made with respect to cure costs, CNRL supported the granting of the Revised RVO and approval of the Share Transaction as proposed.

[81] On November 19, 2025, the Share Transaction closed. Cleo was discharged from the receivership proceedings and replaced with ResidualCo.

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[82] Under the Side Agreement, 269 Corp was obligated to pay the CNRL Cure Costs within 30 days of closing. It did not do so, despite demands from CNRL.

[83] On January 6, 2026, CNRL filed an application, returnable January 16, 2026, seeking an order requiring 269 Corp to pay, and granting judgment against 269 Corp, for the CNRL Cure Costs.

[84] On January 16, 2026, the Court granted the Consent Order. After that, CNRL was focused on enforcing the Judgment against 269 Corp. It filed writs and served garnishee summons against 269 Corp, although the timing of those efforts is not clear on the record before me. In any event, CNRL's Judgment enforcement efforts have not resulted in any recovery to-date.

[85] On February 2, 2026, the Receiver applied for approval of the Claims Procedure Order. CNRL and its counsel were served with that application. The Receiver's application materials, including the Receiver's Third Report, clearly set out that the claims process contemplated the proof of other cure costs, like the CNRL Cure Costs. The materials also provided the draft form of the claims package and clearly described the Claims Bar Date of March 31, 2026, which applied to cure costs claims.

[86] According to CNRL, at that point it was focused on enforcing the Judgment against 269 Corp and, as a matter of cost savings, neither it nor its counsel were actively monitoring developments in the receivership proceedings.

[87] On February 10, 2026, Justice Feasby granted the Claims Procedure Order, which again provided the procedure for determining pre-receivership and "cure cost" claims against Cleo, the form of claims package, and the proof of claim form. CNRL's counsel did not attend that application. On February 12, 2026, the Claims Procedure Order was posted on the Receiver's website.

[88] CNRL's employee responsible for preparing and submitting proofs of claims had not seen a claims process for cure costs before, and was not monitoring for one. That employee deposed that it was her mistake that she missed the application and the Claims Procedure Order in CNRL's "ongoing efforts to recover outstanding Pre-Filing Arrears in a cost-effective manner considering the fees already incurred" negotiating the Side Agreement, preparing and filing the CNRL application and pursuing enforcement of the Consent Order against 269 Corp. The CNRL employee deposed that she was not aware of the Claims Procedure Order until September 8, 2026.

[89] Under the Claims Procedure Order, the Receiver was required to provide a claims package to known potential claimants within seven days of the Claims Procedure Order. The Receiver did not send a claims package to CNRL, apparently because it did not believe CNRL was a potential "Claimant" as defined under the Claims Procedure Order, as a result of the Side Agreement.[9]

[90] CNRL did not file a proof of claim by the March 31, 2026 Claims Bar Date.

[91] The Claims Procedure Order process resulted in secured pre-filing claims, unsecured pre-filing claims, a priority pre-filing claim, and four cure costs claims. A priority dispute arose

[9] Reply Brief of Receiver filed September 29, 2026, at paras 13, 30.

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between the AER and the Municipalities. The Receiver facilitated negotiations between them, and they reached a settlement (**Settlement**).

[92] On September 8, 2026, the Receiver served its application to, among other things, approve the Proposed Distribution. The Proposed Distribution incorporates the Settlement. It does not include any distribution to CNRL for the CNRL Cure Costs. CNRL's employee reviewed the application and was "surprised to see the receivership was still ongoing".

[93] On September 11, 2026, CNRL submitted the poof of claim for the CNRL Claim for the CNRL Cure Costs in the amount of $88,233.15.

[94] On September 11, 2026, the Receiver provided CNRL a notice of disallowance of the CNRL Claim on two grounds: (1) it was too late; and (2) the CNRL Claim relates to a claim against 269 Corp pursuant to the Side Agreement and the Consent Order.

[95] On September 16, 2026, I adjourned the Receiver's application to allow the procedures under the Claims Procedure Order to run their course with respect to the CNRL Claim.

[96] On September 22, 2026, CNRL provided its application, supporting affidavits, and bench brief seeking the Court to set aside the Receiver's notice of disallowance and to declare that the CNRL Claim is a valid cure cost claim. There was no questioning on CNRL's affidavits.

[97] On September 25, 2026, the Receiver provided its brief opposing the CNRL application.[10] On September 28, 2026, CNRL provided a further reply brief.

2. Legal Framework for Late Claims in Insolvency

[98] The objective of a claims procedure order is to ensure all legitimate creditors come forward on a timely basis: ***Enron Canada Corp v National Oil-Well Canada Ltd***, 2000 ABCA 285 [***Blue Range***] at para 10, leave to appeal refused [2000] SCCA No 648; ***Re: SemCanada Crude Company (Celtic Exploration Ltd #2)***, 2012 ABQB 489 [***SemCanada***] at para 62, leave to appeal refused 2012 ABCA 313; ***UBG Builders Inc (Re)***, 2016 ABQB 472 at para 46; ***BA Energy Inc (Re)***, 2010 ABQB 507 at para 41; ***Urbancorp Cumberland 2 GP Inc et al***, 2023 ONSC 6747 at para 106.

[99] Accordingly, and given the important role of the orderly discharge of a receiver's duties under a receivership, the acceptance of a late claim should not be an automatic outcome: ***Pacer Construction Holdings Corporation v Pacer Promec Energy Corporation***, 2018 ABCA 113 at para 147, citing ***SemCanada*** at paras 53 and 62.

[100] Whether to extend the time to submit a proof of claim is a discretionary decision: ***West Bay SonShip Yachts Ltd (Re)***, 2009 BCCA 31 [***West Bay CA***] at para 43. The onus is on the claimant: ***Royal Bank of Canada v Cow Harbour Construction Ltd***, 2011 ABQB 223 [***Cow Harbour***] at para 27. The test engages equitable considerations having regard to the specific circumstances of each case: ***Cow Harbour*** at para 27; ***BA Energy*** at para 34; ***UBG Builders*** at para 53. The applicant

[10] Filed September 29, 2026.

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must provide "some explanation for the late filing": ***Pacer*** at para 147; ***SemCanada*** at paras 62, 73; ***Urbancorp*** at para 104.

[101] The parties agree with the "appropriate criteria" courts apply to late claimants, from ***Blue Range*** (a *CCAA* case) at para 26. This test has also been applied in receivership context: ***Pacer***.

[102] The applicable criteria to apply is as follows:

1. Was the delay caused by inadvertence and if so, did the claimant act in good faith?

2. What is the effect of permitting the claim in terms of the existence and impact of any relevant prejudice caused by the delay?

3. If relevant prejudice is found can it be alleviated by attaching appropriate conditions to an order permitting late filing?

4. If relevant prejudice is found which cannot be alleviated, are there any other considerations which may nonetheless warrant an order permitting late filing?

[103] In this context, "inadvertent" includes "carelessness, negligence, accident, and is unintentional": ***Blue Range*** at para 27; ***Cow Harbour*** at para 26; ***UBG Builders*** at para 26; ***BA Energy*** at para 35. This can include inadvertence of counsel: ***Cow Harbour*** at paras 32-33. However, a deliberate choice, particularly when represented by counsel, is not inadvertence: ***SemCanada*** at paras 52, 73; ***Arrangement relatif à 9323-7055 Québec inc (Aquadis International Inc)***, 2019 QCCS 1396 [***Aquadis***] at para 13. Poor strategic choices will rarely be grounds to file a proof of claim past the cut-off date: ***Montreal Maine & Atlantic Canada Co (Plan of arrangement)***, 2015 QCCS 5896 at para 34, citing ***SemCanada***.

[104] If there was nothing to be gained by the claimant's delay, it may support a finding of inadvertence: ***Cow Harbour*** at para 29.

[105] With respect to good faith, a simple assertion of good faith is not enough: ***Cow Harbour*** at para 32. Submitting a claim as soon as the claimant becomes aware of the situation will support a good faith finding: ***Pacer*** at para 157; ***Cow Harbour*** at para 32. On the other hand, attempting to gain an advantage by late filing, improper manipulation of the process, otherwise lying in the weeds, or delaying the application once the situation is known, will not: ***Blue Range*** at paras 18, 39; ***Cow Harbour*** at para 32; ***SemCanada*** at para 58; ***UBG Builders*** at paras 26; ***BA Energy*** at para 42.

[106] With respect to "relevant prejudice" criteria, this can include prejudice to other creditors, the debtor, other interested parties, or the court officer's administration of the court-supervised process: ***Pacer*** at para 150; ***BA Energy*** at para 49.

[107] Non-exhaustive considerations relevant to prejudice include:

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(a) whether the late claimant's claim was previously known: ***Blue Range*** at para 39; ***Cow Harbour*** at para 39;

(b) the length of the delay: ***Pacer*** at para 150; ***SemCanada*** at para 48; ***Urbancorp*** at para 104;

(c) the timing of the application within the court-supervised process: ***Blue Range*** at para 36; ***Cow Harbour*** at para 39; ***SemCanada*** at para 66;

(d) whether granting permission will cause further delay or expenditure of resources. This can include a delay in the finalization of the claims process: ***Pacer*** at para 150, citing ***West Bay SonShip Yachts Ltd, Re***, 2007 BCSC 1553 at para 35 [***West Bay SC***], aff'd ***West Bay CA***;

(e) whether a late claim causes another stakeholder to lose a realistic opportunity to do something it might otherwise have done: ***Blue Range*** at para 40; ***SemCanada*** at para 65; ***Target Canada Co (Re)***, 2017 ONSC 327 [***Target Canada 2017***] at paras 27, 32. This may relate to decisions made, agreements reached or positions taken by stakeholders "on the basis of claims that had been filed as of the Claims Bar Date": ***Pacer*** at para 168 (cited para 218); ***SemCanada*** at paras 64-65; ***Cow Harbour*** at para 39; ***BA Energy*** at paras 47, 51; ***Aquadis*** at para 22; ***Urbancorp*** at para 105, citing ***Timminco Limited (Re)***, 2014 ONSC 3393 at paras 41-44; ***Target Canada 2017*** at para 41; ***West Bay SC*** at para 35; and

(f) the materiality of the late claim: ***Blue Range*** at para 37; ***Cow Harbour*** at para 40; ***SemCanada*** at para 67; ***BA Energy*** at para 46; ***West Bay SC*** at para 35. While the fact that other creditors will receive less money if late claims or amended claims are allowed is not, without more, relevant prejudice (***Blue Range*** at paras 37, 40; ***Cow Harbour*** at para 41), the magnitude of the dilution of their recovery can be relevant to prejudice: ***Aquadis*** at para 22; ***Target Canada 2017*** at para 31.

[108] With respect to the "other considerations" criterion, the Court may balance the equities, including relevant prejudice suffered by the late claimant if the late claim is not allowed, versus the prejudice if it is: ***SemCanada*** at para 73; ***BA Energy*** at para 58. Also, in this context, the sufficiency or reasonableness of the reason for and the length of the delay are relevant considerations: ***SemCanada*** at para 73; ***UBG Builders*** at para 65.

3. Inadvertence and Good Faith

[109] CNRL argues that its late submission of its proof of claim was inadvertent and in good faith because it was focused on enforcing the Consent Order and Judgment against 269 Corp and so was not actively monitoring developments in the receivership proceeding. It argues that it was not focused on, or aware of the need to, dual-track its recovery efforts or maintain a watching brief in the receivership. It notes that cure costs are generally a purchaser obligation, it was actively enforcing against 269 Corp as the purchaser, and there was no reasonably foreseeable need to monitor the receivership for claims-related matters. As noted, the CNRL employee's evidence was that she was not aware of the claims process for cure costs. CNRL also argues there was no

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advantage to CNRL in late filing. Finally, CNRL points out that it was a known claimant and CNRL should have been provided a claims package, but was not.

[110] The Receiver argues that CNRL's failure to submit a timely claim was not inadvertent and unintentional, but was the result of a deliberate strategic decision by which CNRL elected to pursue an alternative recovery strategy against 269 Corp, which ostensibly provided it more certainty as to timing and quantum of recovery. The Receiver relies on ***SemCanada*** and ***UBG Builders***.

[111] In my view, this case highlights the important distinction between unintentional carelessness and deliberate choices. As noted in ***Aquadis*** at para 14 (footnotes omitted):

> [14] The distinction between a party's inadvertence, and its deliberate decision not to file a timely proof of claim, is relevant to the Court's appreciation of whether the allowance of a late claim will adversely impact upon the "integrity and respect for the court process and its orders". Clearly, it is more difficult for a claimant who has deliberately chosen not to file a timely proof of claim to demonstrate that it should be relieved from its default and treated equally with other parties who have respected the court process.

[112] The distinction between can sometimes be difficult to make. Justice Yamauchi commented on this in ***Cow Harbour*** at para 26:

> The description of "inadvertent" in ***Blue Range***, says that the action is "unintentional." It is difficult to imagine a situation where carelessness, negligence or accident could be "intentional" and still be inadvertent, unless the court in that case was envisaging a situation where a claimant is wilfully blind or procrastinating.

[113] In my view, where a claimant is aware of its future right to make a claim, but then makes a deliberate economic choice to stop monitoring, to ignore or be wilfully blind to, the ongoing procedures in order to save money and pursue an alternative recovery strategy, the failure to submit a timely claim cannot be said to be unintentional or inadvertent. In those circumstances, missing the deadline to submit a claim is caused by a deliberate choice or strategy.

[114] The ***Blue Range*** criteria were never meant to save late claimants from poor or careless decisions or strategies. Finding otherwise would significantly undermine the purpose of claims procedures "to ensure all legitimate creditors come forward on a timely basis".

[115] In this case, I find that CNRL was aware of its right to recover the CNRL Cure Costs from the Share Transaction purchase proceeds. CNRL's counsel was served with the Receiver's November 5, 2025 application for the approval of the Share Transaction, which included paragraph 10.1 of the proposed form of order (set out above in its entirety). The Receiver's Second Report also expressly flagged the Receiver's intention to come back for approval of a claims process that "will include potential Other Cure Costs claimants who may be owed amounts from the Purchase

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Price Funds".[11] CNRL attended the November 14, 2025 application and supported the application because of the changed treatment for cure costs.

[116] In my view, in these circumstances CNRL cannot reasonably argue it was not aware of its right to pursue a claim for the CNRL Cure Costs in a future claims process. The CNRL employee's evidence that she was unaware of the specific approved claims process and the Claims Procedure Order until September 8, 2026, must be viewed in that context. In my view, her lack of knowledge of the status of the receivership, the Claims Procedure Order, and the Claims Bar Date, was the direct result, and the obvious and foreseeable outcome, of CNRL's deliberate economic decision not to monitor the receivership while it pursued recovery against 269 Corp. CNRL must be taken to have known of the risk it would miss its opportunity to share in the proceeds of the Share Transaction.

[117] In these circumstances, it cannot be said that CNRL's delay was caused by inadvertence or was unintentional. It is only after CNRL's decision to focus on recovering from the purchaser did not bear fruit, that it re-engaged with the receivership process, reviewed the Receiver's application, and filed a late claim. CNRL's approach is akin to one of wilful blindness or procrastination, as contemplated in ***Cow Harbour***.

[118] I have considered the fact that the Receiver failed to provide CNRL a claims package. I agree that CNRL was a "Known Claimant" (that is, one with a potential cure cost claim) and it should have been sent the claims package.

[119] However, CNRL was served with the application to approve the Claims Procedure Order, and the Receiver's Third Report provided in support of that application. Those materials included the proposed Claims Procedure Order (which in turn appended the claims package). These materials went unnoticed by CNRL because it decided not to monitor the proceedings. Given CNRL's uncontradicted evidence that neither it nor its counsel were monitoring the receivership at this time, had the claims package been sent it is likely it too would have gone unnoticed. In those circumstances, the Receiver's failure to provide the claims package does not change my decision because it did not cause or contribute to CNRL's delay.

[120] CNRL does not meet the first criterion.

4. Prejudice

[121] CNRL argues that there is no prejudice to allowing its late claim. It points to the jurisprudence that a diluted monetary recovery of other creditors is insufficient to establish relevant prejudice. CNRL notes that the AER and the Municipalities' priority is to ResidualCo's funds, not directly from the Share Transaction proceeds, and that it is only excess Share Transaction proceeds (after payment of valid cure costs) that are paid to claimants of ResidualCo. Thus, CNRL argues that there is nothing that AER or the Municipalities could do to overcome CNRL's priority and, therefore, they did not lose any realistic opportunity to do something different.

[122] In response, the Receiver argues that the final Settlement between the AER and the Municipalities was reached without the knowledge of the CNRL Claim, that CNRL's Cure Cost

[11] Receiver's Second Report at para 38.

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Claim is material, and that it is highly possible that the reduction of recovery caused by CNRL's Cure Cost Claim would have led to a different result. In oral submissions, the AER and Municipalities supported this position and argued that allowing CNRL's late claim would cause them prejudice. Counsel for the Municipalities advised that they proceeded on the understanding that the Proposed Distribution would be uncontested.

[123] I find that there is relevant prejudice in these circumstances. As noted in ***SemCanada***, at para 64, it can reasonably be inferred after a claims bar date elapses that stakeholders make decisions on the basis of the claims that had been filed as of the claims bar date. CNRL is a sophisticated party that had been actively participating in the receivership proceedings, had supported the Revised RVO, and had then publicly focused its recovery efforts by dealing directly with 269 Corp. While there is no evidence that CNRL ever expressly advised the Receiver it was foregoing its right to pursue cure costs in the receivership process, there is also no evidence that it advised the Receiver or anyone else that it was preserving or intended to pursue those rights. It can be reasonably inferred that the Receiver and other creditors proceeded on the basis that CNRL was satisfied with its efforts against 269 Corp and did not intend to participate in the receivership claims process.

[124] It can also reasonably be inferred that the AER and the Municipalities agreed to the Settlement based on their understanding of the submitted claims, which did not include the CNRL Cure Costs.

[125] The CNRL Cure Costs claim is material to the AER and Municipalities. If accepted, it would reduce the surplus Share Purchase proceeds available to ResidualCo creditors by about $88,000, from about $164,000 to about $76,000, which represents approximately a 24% reduction in the amount available to the AER/Municipalities.

[126] The specific terms of the Settlement, other than the agreed sharing percentages, are not before me. I cannot determine whether the Settlement would be frustrated by acceptance of the CNRL Cure Costs claim, or whether the AER and the Municipalities would otherwise be entitled to revisit or unwind it.

[127] If the Settlement stands, then the AER and Municipalities will have lost their ability to negotiate a settlement in light of the lower pool of funds available to them. I agree with the Receiver that the lower amount available may very well have materially changed the negotiation process or result as between these competing claimants. As per ***Aquadis*** at para 22, the decision of the AER and the Municipalities to agree to the Settlement "would have been taken under a misconception regarding its value to them, a prejudice that cannot now be alleviated".

[128] If the Settlement does not stand, it would unwind an agreement and undermine the integrity of the receivership process. There would be thrown away costs and a need for either new negotiations or a litigation process to resolve the priority dispute between the AER and the Municipalities. Both of these would delay the finalization of the receivership, increase costs of the AER, the Municipalities and the Receiver, and create uncertainty in the receivership. The receivership is otherwise ready to be finalized.

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[129] In my view, whether the Settlement stands or falls, both scenarios create relevant prejudice. On the record before me, CNRL has not satisfied me that the prejudice can be alleviated by appropriate conditions.

5. Other Considerations

[130] As noted above, in deciding whether there are other considerations that warrant allowing the late claim, relevant factors include the equities, the relative prejudice, and the reason for the delay.

[131] In my view, the validity or merit of a late claim may also be a relevant "other consideration". The Receiver argues that the effect of the Side Agreement, the Consent Order and the Judgment demonstrate an election by CNRL to pursue 269 Corp, or a "commercially transferred liability". Effectively, the Receiver argues that this acted as a release, and CNRL should not be able to pursue both 269 Corp and ResidualCo for the CNRL Cure Costs, as that would give it multiple avenues of recovery which would put it in a better position than other creditors. CNRL disputes this position.

[132] The Receiver did not provide any legal authority for its position. In those circumstances, and based on the terms of the Side Agreement and the Consent Order, I am not prepared to find that CNRL released or made a binding election to forego its recovery of CNRL Cure Costs in the receivership. I proceed on the basis that the CNRL Claim is valid.

[133] Notwithstanding that finding, I am not satisfied that there are other considerations that support granting CNRL permission to allow its late claim. CNRL continues to have recourse as against 269 Corp under the Judgment. Its decision to abandon monitoring the receivership has turned out to have been a poor decision. That is not a reasonable excuse or explanation for its delay. To preserve the integrity of the receivership process and the purpose of claims process orders, I find it more appropriate that CNRL bears the consequences of its decisions and associated delay. In my view, the prejudice to CNRL does not outweigh the prejudice to the Receiver, other creditors, and the integrity of the receivership process.

6. Conclusion

[134] The late CNRL Claim is not allowed.

C. Other Relief Sought by the Receiver

[135] The remaining relief sought by the Receiver was not objected to by any party.

1. Approval of Receiver's Actions, Activities and Conduct

[136] The court has inherent jurisdiction to review and approve the activities of court-appointed receiver if the receiver meets the objective test of demonstrating that it has acted reasonably, prudently and not arbitrarily: ***Leslie & Irene Dube Foundation Inc v P218 Enterprises Ltd***, 2014 BCSC 1855 at para 54; ***Yukon (Government of) v BYG Natural Resources Inc***, 2025 YKSC 59 at para 21; ***Ramos v York Condominium Corp No 25***, 2024 ONSC 6196 at para 30.

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[137] I also incorporate the principles related to approval of a court-officer's actions, activities and conduct as recently summarized in ***Canacol Energy Ltd (Re)***, 2026 ABKB 654 at paras 11-18.

[138] There was no opposition to this relief. No concerns have been raised or identified. The Receiver's Final Statement and Final Forecast appear reasonable. I am satisfied that the Receiver acted reasonably, prudently, honestly and in good faith. Approval thus follows.

[139] Further, there were no disputed matters flagged which required special attention. However, given that the form of order seeks general approval of the Receiver's actions, activities as disclosed and reported in the Receiver's Fourth Report and "all other Reports filed in the within receivership proceedings", the additional language from paragraphs 7 and 21 of ***Target Canada Co (Re)***, 2015 ONSC 7574, as noted at para 17 of ***Canacol Energy***, shall be included at para 8 of the proposed form of order.[12]

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2. Approval of Fees and Disbursements of the Receiver and its Legal Counsel

[140] The onus is on a court officer to satisfy the court that the remuneration claimed is justified and reflects fair compensation for the services provided: ***Patel v Chief Medical Supplies Ltd***, 2019 ABQB 690 at para 32(a); ***Winalta Inc (Re)***, 2011 ABQB 399 at para 32; ***Piikani Nation v Piikani Energy Corporation***, 2011 ABQB 450 at para 13, citing ***Re Omni Data Supply Ltd***, 2002 BCSC 1631 at paras 24-25 (in turn citing ***Re Hess*** (1977), 23 CBR (NS) 215). Insolvency professionals are expected to work efficiently and reasonably, and to charge fair amounts for the services provided.

[141] The question is whether the fees are fair and reasonable in all the circumstances: ***Coast Automotive Group Inc (Re)***, 2026 ABKB 490 at para 72; ***Bank of Nova Scotia v Diemer***, 2014 ONCA 851 [***Diemer***] at paras 32-33, 45; ***Winalta*** at para 30; ***Hendley (Re)***, 2016 ABQB 721 at para 20. This is consistent with the Receivership Order, which follows the Alberta template receivership order in providing that "the Receiver and counsel to the Receiver shall be paid their reasonable fees and disbursements".

[142] Several cases provide non-exhaustive relevant factors that serve as a useful guide in determining whether the fees of a court-officer and its legal counsel are fair and reasonable. A combined non-exhaustive list from some of these cases includes:

(a) the nature, extent and value of the assets;

(b) the complications and difficulties encountered;

(c) the degree of assistance provided by the parties or others;

(d) time spent;

[12] Namely: "provided, however, that only the Receiver, in its personal capacity and only with respect to its own personal liability, shall be entitled to rely upon or utilize in any way such approval."

(e) knowledge, experience and skill;

(f) diligence and thoroughness;

(g) responsibilities assumed;

(h) results achieved;

(i) cost of comparable services when performed in a prudent and economical matter;

(j) agreements or contracts related to fees;

(k) the views of creditors (or others potentially liable or at risk for the fees sought to be approved); and

(l) other material considerations.

See: ***Federal Business Development Bank v Belyea and Fowler***, 1983 CanLII 4086 (NB CA) at para 9; ***Confectionately Yours Inc (Re)***, 2002 CanLII 45059 (ON CA) at paras 35-41; ***Diemer*** at para 33; ***Piikani Nation*** at para 13; ***Servus Credit Union Ltd v Trimove Inc***, 2015 ABQB 745 at para 28.

[143] As is common, in this case there was no objection raised to the approval of the accounts of the Receiver and its counsel. In my view, this factor supports an inference of fairness and reasonableness and weighs in favour of approval.

[144] The Receiver provided summaries of accounts in the Receiver's Fourth Report. It did not follow the practice, contemplated in ***Confectionately Yours***, of providing an affidavit proving the accounts. Instead, the Receiver offered to provide the Court the accounts upon request if necessary.

[145] In my view, where an impacted or potentially impacted party requests it, or objects to the fees of a court officer and its counsel, the court-officer is obligated to prove the fees and disbursements by way of affidavits including the detailed accounts: ***Confectionately Yours*** at paras 38-41; ***Patel*** at para 32(c).

[146] In those circumstances, the court officer may redact information, for example to protect privilege: ***Laurentian University of Sudbury***, 2022 ONSC 5850 at para 5. However, if required redactions render the accounts misleading, incomprehensible, or insufficient to support the fee claim, or otherwise create unfairness, the better practice in a disputed case is to also provide an unredacted copy of the affidavit with the accounts to the Court and, if necessary, seek the sealing of that affidavit; otherwise the court-officer may not be able to discharge its onus: see, for example: ***Hanfeng Evergreen Inc***, ***(Re)***, 2017 ONSC 7161 at paras 29-30; ***MBH v CKI***, 2023 ABKB 284 at para 42-43; ***Sunstrum Estate (Re)***, 2026 ABKB 491 at para 135; ***Patel v Chief Medical Supplies Ltd***, 2021 ABQB 355 at para 130.

[147] However, where the persons that are *de facto* at risk for or directly impacted (or potentially impacted) by the approval of the fees, are sophisticated insolvency participants, or are otherwise represented by counsel, and those persons do not request further information or object to the fees

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and disbursements, as a matter of practicality and efficiency the court has discretion to accept more streamlined evidence. For example, in those circumstances a summary of accounts in a court officer's report that also describes the work performed may suffice. Account summaries in court officer reports should generally include the invoice amounts charged, disbursements, together with the timekeeper identities, hourly rates and hours worked for the timeframe covered.

[148] Having said that, courts retain the discretion to require further information, including the detailed accounts proven by way of affidavit, where it is necessary and appropriate to discharge their supervisory role and ensure that the amount charged is fair and reasonable. Court officers seeking to avoid disputes or surprise and associated delay might consider providing fee affidavits regardless of whether there is an objection.

[149] In any event, anything provided to the Court for its consideration should be filed to provide a meaningful record for appellate review, if necessary.

[150] I have reviewed the evidence of the fees and disbursements of the Receiver and its counsel, and the activities of the Receiver during the relevant period as reflected in the Receiver's Reports. Noting no objection by any party, the quantum of the accounts, and the factors noted above, I find they are fair and reasonable and they are approved.

3. Approval of Proposed Distribution

[151] The Court has well-established authority to approve distributions: ***Realtrium Holdings Pickering Inc v Simpson***, 2025 ONSC 5605 at para 31.

[152] No party objected to the Proposed Distribution. It is reasonable and approved. This is subject to my comments noted above with respect to the Superpriority Amount. My approval of the Proposed Distribution is not a decision about the appropriate handling of the Superpriority Amount going forward. The Receiver, ESDC and the Former Employees should attempt to reach resolution of that question, failing which any party can seek the Court's determination, if necessary. The form of order can be amended to reflect this paragraph.

4. Discharge

[153] The proposed discharge is not opposed and is reasonable in the circumstances. I am satisfied that the steps necessary to resolve the Superpriority Amount can be addressed as an administrative matter within the estimated future Receiver and counsel fees, as contemplated in the proposed form of order.

IV. Conclusion

[154] The Court declines to consider or grant the proposed *WEPPA* Declarations. CNRL's application seeking permission and acceptance of the late CNRL Claim is dismissed. The Receiver's proposed form of order (other than paras 3-4) is approved and granted, with any amendments as may be required to implement my decisions above. The Receiver may seek my further directions if required to finalize the order.

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Heard on the 16th day of September 2026, with further written submissions on the 22nd, 25th and 28th days of September, 2026.

Dated at the City of Calgary, Alberta this 23rd day of October, 2026.

M.A. Marion
J.C.K.B.A.

Appearances:

James W. Reid and Pavin Takhar
for the Receiver, Alvarez & Marsal Canada Inc.

Daniel Segal
for His Majesty the King in Right of Canada, as represented by the Minister of Employment and Social Development Canada

Emily Paplawski
for Canadian Natural Resources Ltd.

George Wong
for the Alberta Energy Regulator

Gregory Plester and Dylan Sigurdson
for Municipal District of Wainwright No. 61, Municipal District of Provost No. 52, Flagstaff County, County of Paintearth No. 18 and Vulcan County

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